HSU Ke Cheng (Clio) 許可證

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BUSINESS ADDRESS

Department of Economics, 5067 Lee Shau Kee Business Building
The Hong Kong University of Science and Technology, Clear Water Bay, Kowloon, Hong Kong

RESEARCH FIELDS

Industrial Organization Theory, Empirical Industrial Organization

EDUCATION

Hong Kong University of Science and Technology

Ph.D. in Economics	2022 – 2027 (expected)
M.Phil. in Economics	2020 – 2022
B.Sc. in Mathematics and Economics (Minor in Actuarial Mathematics)	2015 – 2019

WORKING PAPERS

- "Designing Return Policy in E-Commerce: A Trade-off between Purchase and Return Efficiency" *(Job Market Paper)*

  Abstract: We study the effect of return policies by asking whether they encourage efficient returns and purchases. A stricter return policy curbs inefficient ex-post returns, but the resulting lower return rates make higher product prices more attractive for sellers, leading to possible exclusion of ex-ante efficient purchases. We compare automatic coverage that reimburses return-shipping costs (RI) with optional coverage (CI) by estimating a structural model of purchase, insurance, and return decisions under monopoly pricing across six apparel categories. A lenient return policy like RI performs better in high-margin, high-salvage categories by expanding valuable purchases, whereas a strict return policy like CI performs better in thinner-margin categories by curbing excessive returns. Partial RPD, a menu pairing a discounted price with a medium restocking fee as penalty, performs better than RI and CI for most categories by better balancing purchase and return efficiency.

  Presented at (for scheduled):* APIOC 2026*; 2026 Econometric Society Australasia Meeting (ESAM 2026)*; 中國經濟學年會夏季論壇 2026*; HKUST Business School PhD Conference; CEP Brownbag in HKUST.

- "Product Design with Heterogeneous Search Costs", MPhil thesis, with AU Pak Hung

  Abstract: Building on Wolinsky's (1986) sequential search model with differentiated products, this paper

introduces search cost heterogeneity to analyze how firms leverage observable product designs to influence consumer search behavior. In equilibrium, consumers' search patterns form a partitioned structure: those with low search costs tend to seek niche products, while consumers facing higher search costs gravitate toward standardized products. In the case of two product designs, a reduction in search costs may lead to higher prices for both if the endogenous shift in consumer search modes—the composition effect—dominates the search-encouraging effect. Additionally, we demonstrate that prices respond asymmetrically to decreases in search costs based on the relative position within the distribution where the shock occurs.

Presented at: APIOC 2023; AMES 2023 NTU Singapore.

WORK IN PROGRESS

- "Pass-Through, Welfare, and Incidence under Product Returns in Perfect Competition", with Ce Bian and Liang Zhao

  Preliminary result: We study how a production-cost increase, a return-handling-cost increase, and a platform tax that is only partly refunded on returns pass through into the price and affect welfare in a competitive market with product returns. Each shock can generate negative pass-through, and that price fall can improve consumer and producer surplus jointly through a reduction in the return rate. Joint surplus then splits into an ex-ante loss on the purchase margin and an ex-post term on the keep-or-return margin. A formula that ignores returns keeps only the first piece and can reverse the welfare implication. Counting platform revenue, the first-order social effect of a small tax is the ex-post term alone. A larger fee retained on refunds scales the effect but does not change its sign.

- "Too Much Unsold Stock?: Environmental Consequences of Price Commitment", with Kohei Kawaguchi and Kei Kawai

  Preliminary result: Resale price maintenance is procompetitive because it encourages sellers to carry inventory in the low-demand state. When realized demand falls short of that inventory, however, the seller cannot lower the price to clear the market, and the unsold copies are returned at an environmental cost. To study this tradeoff, we build a dynamic oligopoly under demand uncertainty in which infinitely lived consumers substitute across periods and titles when their preferred title stocks out. In our model, sellers choose price and inventory before seeing actual demand, in contrast to the classical model, where price and inventory are set after demand is realized. We compare the marginal cost estimates between these two models. Our estimate identified from the inventory decision is roughly proportional to the stockout probability and is always positive, whereas the estimate recovered from the price condition can turn negative if demand is inelastic. Our estimate of production cost is lower than that classical estimate on average, because the seller places a higher weight on high-demand states, where demand is less elastic.

EXPERIENCE

Research

Research Assistant for Prof. Benjamin Bernard, National Taiwan University 2020

Teaching

Lecturer, Math Camp for MSc in Economics, HKUST 2026

Teaching Assistant Coordinator, Business School, HKUST 2025 – 2026

Teaching Assistant, Department of Economics, HKUST (average 4.59/5) 2020 – 2025

ECON2123 – Macroeconomics (4.36/5)
ECON4134 – Economics of Uncertainty and Information (4.66/5)
ECON4999T – Economics of Uncertainty and Information (4.25/5)
ECON5210 – Microeconomic Theory I (4.85/5; 4.83/5)

FELLOWSHIPS AND AWARDS

Red Bird PhD Award 2022

Postgraduate Studentship from the HKUST 2020 – present

Research Travel Grant 2023; 2026

Academic Achievement Medal 2019

University Scholarship (730K HKD) 2015 – 2019

SKILLS

Technical Skills: R, Python, C++, LaTeX, AWS
Languages: English (fluent), Mandarin (native), Cantonese (basic)

REFERENCES (THESIS SUPERVISION COMMITTEE)

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